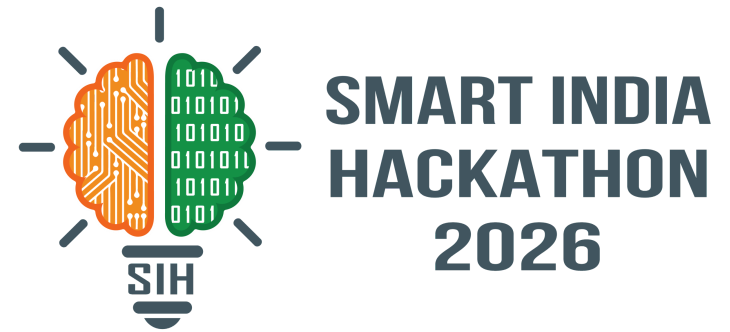




SMART INDIA HACKATHON 2026



- **Problem Statement ID –**
- **Problem Statement Title-** Saarthi
- **Theme-** Miscellaneous / Smart Automation
- **PS Category-** Software
- **Team ID-**
- **Team Name-** Zenith

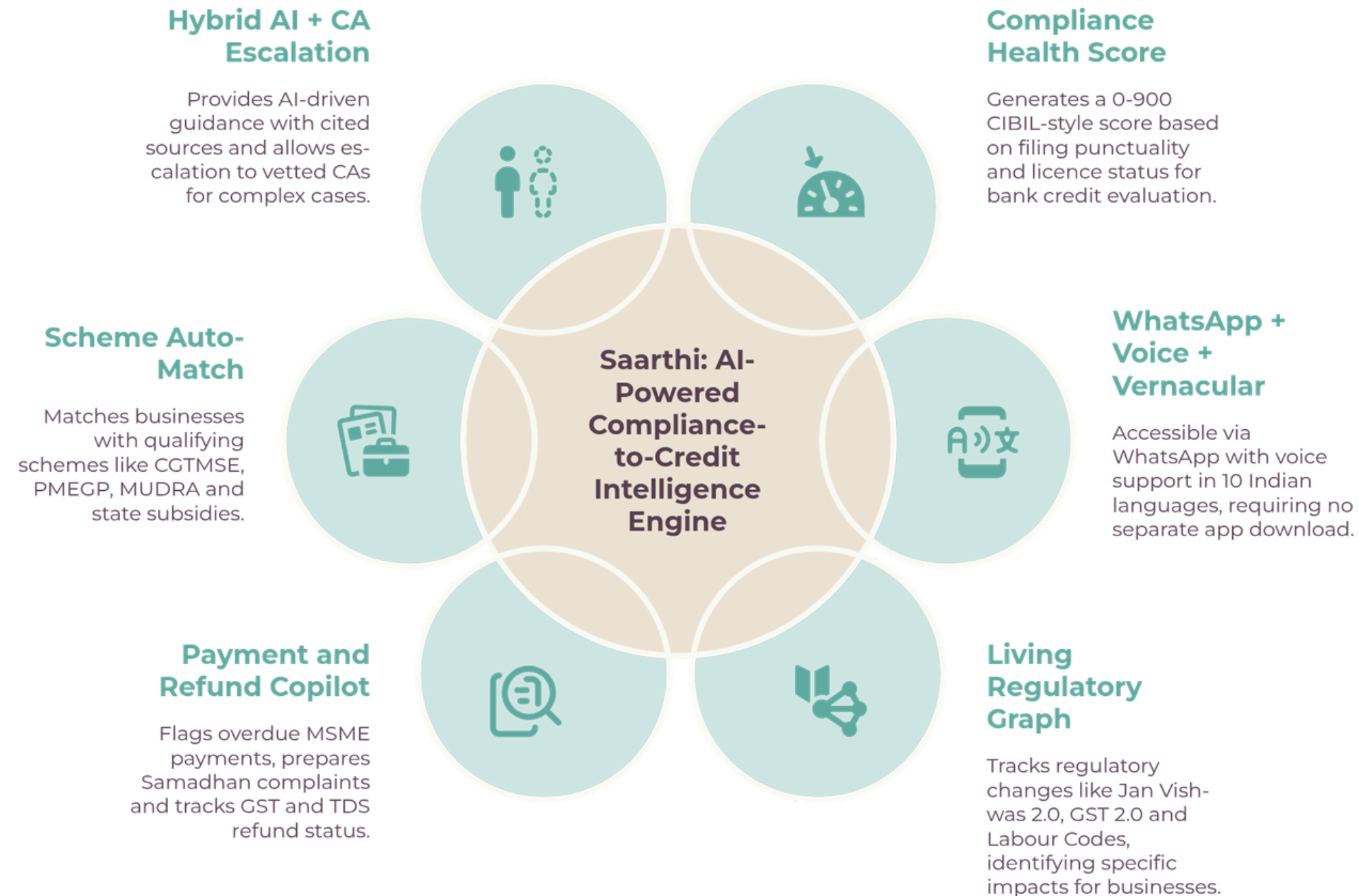


Saarthi - AI Compliance-to-Credit Copilot for MSMEs & New-Age Startups

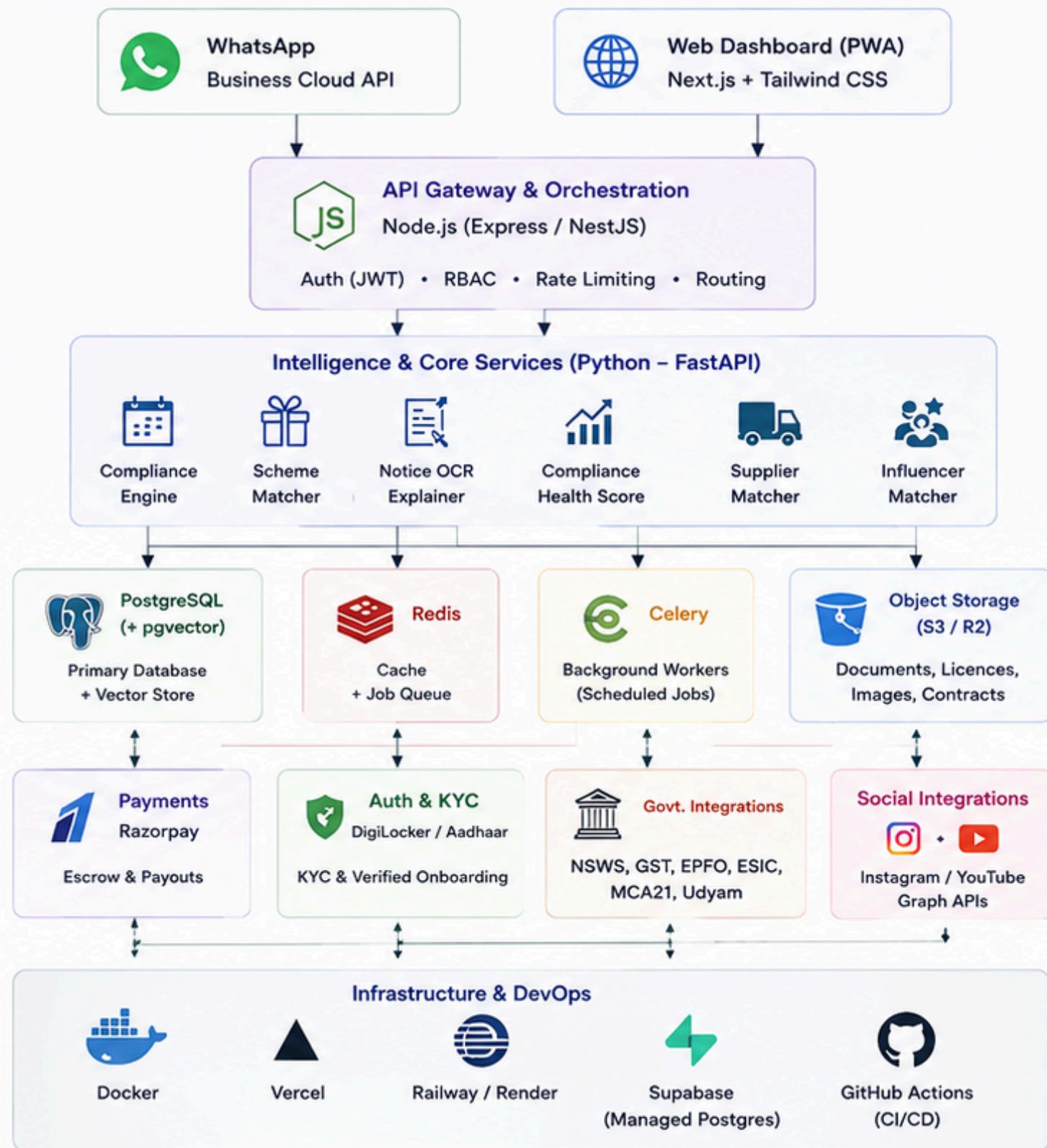
The Problem



The Solution



SAARTHI – TECH FLOW (Architecture)



SAARTHI – HOW IT WORKS





TECHNICAL

Built entirely on public, documented Govt APIs + WhatsApp Business API, already proven at scale by Indian banks/fintechs



MARKET

7.9 Cr Udyam-registered MSMEs + a typical business now facing 69,233 compliance requirements (Aug 2026) — urgent, current demand



FINANCIAL

Freemium + ₹500–999/month premium + B2B2C fee from lenders for Compliance Health Score API access — three independent revenue lines

RISKS & MITIGATION

RISK

MITIGATION



Govt API version drift / downtime



Abstraction layer + manual-entry fallback + direct NSWS partnership



Low digital literacy among micro-MSMEs



WhatsApp-first, voice notes, vernacular UI — zero app download



Trust in AI-generated legal guidance



Source-cited answers, confidence scores, hybrid CA escalation for edge cases



29-state compliance variation



Phase 1: 3 states × 5 business types, then expand by demand



RBAC / data misuse across roles (supplier, lender, CA)



Row-level security, per-role JWT scopes, full audit log on every cross-role read — DPDP Act 2023-aligned



PHASED ROADMAP

(kept out of the Week-1 MVP on purpose)



PHASE 2

Verified Supplier Directory (compliance-badge gated)



PHASE 2

Influencer-Marketing Compliance Kit (ASCI + 194R TDS)



PHASE 3

Export Compliance Copilot, Lender API marketplace



Target Audience: India's 7.9 Cr Udyam-registered MSMEs & new-age startups – sharpest impact on first-generation, women-led and Tier-2/3 entrepreneurs



7.9 Cr
MSMEs
(Mar 2025)



₹25L Cr
Credit Gap



69,233
Compliance
Requests



45-day
MSME payment rule,
often broken

REAL PAIN



GST refunds stuck due to UPI data mismatch – even for exempt/zero-rated supplies



Inspectors demand bribes for account, figures or post-hold relief in secondary inspection



Export registration is complex (IECIAD, code; local tests; manual vetting)



Genuine businesses face CA escalations and account freezes



Payments delayed beyond 45 days; no auto-escalation or refund



SAARTHI'S ANSWER



AI OCR notice-photo scanning explains notices in plain language + pre-settlement checks



Digital time-stamped trial for export registration – less room for discretion



AI + human verification ensures genuine edge cases get approved, not blocked



Auto Compliance Health Score highlights issues before banks act



Copilot flags overdue payments; auto-drafts complaint & triggers escalation



SAARTHI empowers honest MSMEs with clarity, speed and fairness.
Less friction. More trust. Faster growth.

Parliamentary & policy sources

- Dept.-related Parliamentary Standing Committee on Commerce (Aug 2026), “**Doing Business in India: The Way Forward**” — 1,536 Acts, 69,233 compliance requirements, 6,618 filings
- PIB / Government of India (Apr 2026), **Jan Vishwas (Amendment of Provisions) Bill, 2026** — 717 provisions decriminalised across 79 Acts
- GST Council, 56th Meeting (Sep 2025) — GST 2.0 two-slab rate rationalisation
- RBI, Master Direction – Lending to MSME Sector (amended Feb 2026) — collateral-free loan limit raised to ₹20 lakh
-

Founder & market evidence

- Swarajya (Apr 2025, updated 2026), **interview with Deepak M Nadiger, ex-CEO & angel investor** — 11 first-hand founder asks: CA/CS costs, CGTMSE friction, MCA/EPFO UX, TDS refund delays
- Deccan Herald (May 2026), **viral r/india Reddit post** — exporter founder's account of customs bribes and secondary-inspection delays
- Deccan Herald / Tribune (2025–26) — Karnataka UPI-based GST notice controversy affecting exempt small traders
- TeamLease RegTech (2025–26), **Decoding Compliance** report; press statements on the Corporate Laws (Amendment) Bill, 2026

Government data / API sources

- udyamregistration.gov.in · nsws.gov.in · gst.gov.in · epfindia.gov.in · esic.gov.in · mca.gov.in · digilocker.gov.in